

Interstate Land Sales

Federal and state laws govern the sale of property within and between states. The Interstate Land Sales Full Disclosure Act, passed in 1968, regulates land sales across state lines in order to keep unscrupulous individuals and fraudsters from selling property to unsuspecting consumers sight unseen. At the act's inception, it was administered by the U.S. Department of Housing and Urban Development, but the Consumer Financial Protection Bureau (CFPB) is now tasked with overseeing it.

To prevent fraudulent activity, developers have to register any subdivisions that have 100 or more non-exempt lots with the CFPB. Before a buyer signs a purchase contract, the developer has to give that buyer a disclosure document called a property report, which contains information about the subdivision. The buyer has a seven-day period after receiving the report to cancel the purchase agreement. If the developer doesn't provide the disclosure, the buyer can rescind the contract, so developers have plenty of incentive to provide it.

Exemptions

The U.S. Department of Housing and Urban Development notes several exemptions to the act, which include:

- Sale or lease of fewer than 25 lots in a subdivision
- Sale or lease of improved lots with a residential, commercial, condominium, or industrial structure, or the contract requires a structure to be built within two years
- Real estate investment trusts' securities sale
- Government sales
- Sale or lease of lots to builders
- Sale or lease of real property zoned for commercial or industrial development
- Cemetery lot sales

Other exemptions apply.